

Plaintiff has satisfied his initial burden under Code of Civil Procedure section 437c, subdivision (p)(1), to prove each element of the cause of action, shifting the burden to Defendant to demonstrate the existence of a triable issue of material fact. Defendant has filed no opposition and has not sought to withdraw or amend the deemed admissions. Therefore, Defendant has not met his burden of production to show a triable issue of fact.

Plaintiff is also entitled to statutory prejudgment interest on the \$115,000 principal balance. Because the promissory note does not stipulate to a legal rate of interest, the obligation bears interest at the rate of ten percent (10%) per annum after the breach. (Civ. Code, § 3289, subd. (b); Millhollin Decl., ¶ 3, Ex. 1.) The Court calculates the per diem interest rate at \$31.51 (\$11,500 annual interest divided by 365 days). For the 878 days from the April 8, 2024 breach through the September 2, 2026 hearing date, prejudgment interest totals \$27,665.78, resulting in contract damages of \$142,665.78.

Additionally, under the Court's January 9, 2026 order, Defendant was ordered to pay discovery sanctions in the amount of \$1,620.00, which remain unpaid. (Millhollin Decl., ¶ 4.) Because an order imposing monetary sanctions is enforceable in the same manner as a money judgment under the Enforcement of Judgments Law (Code Civ. Proc., § 680.010 et seq.; *Newland v. Superior Court* (1995) 40 Cal.App.4th 608, 615), the Court will add the \$1,620 sanctions award to the \$142,665.78 contract damages subtotal, **resulting in a total of \$144,286.78.**

Plaintiff shall prepare and submit a proposed order.

19. 9:00 AM CASE NUMBER: C25-03012
CASE NAME: I'YOSHI BARNES VS. DOES 1 TO 30
***HEARING ON MOTION IN RE: STRIKE PLAINTIFF'S COMPLAINT**
FILED BY: GUARDIAN/KW HILLTOP LLC
TENTATIVE RULING:

Defendant Guardian/KW Hilltop LLC's Motion to Strike punitive damages allegations is **granted with leave to amend**. Defendant shall prepare the order and give notice. Plaintiff has 15 days from service of notice of entry to amend the complaint. If Plaintiff cannot do so within this timeframe, Plaintiff may later move for leave to amend if facts supporting punitive damages are uncovered during discovery.

Background

Plaintiff I'Yoshi Barnes brings this action against Defendant Guardian/KW Hilltop LLC and Does, alleging claims arising from a residential tenancy at 3400 Richmond Parkway, Apartment 4109, in Richmond, California (the Property). (Compl. ¶¶ 1-2, 9.) Plaintiff alleges that Defendant placed her in a different unit than the one she applied for without allowing a walkthrough. (*Id.* ¶ 12.) After taking possession, Plaintiff observed that the unit was dirty and smelly, the carpet was stained, the counters had cuts and paint on them, and a bedroom wall was softened and bloated. (*Id.* ¶ 13.) Plaintiff allegedly notified Defendant of these conditions and requested repairs, but Defendant did not make them. (*Id.* ¶ 14.)

Plaintiff alleges that the apartment flooded due to heavy rain on November 11, 2024, causing water

intrusion and “biological contaminants.” (Compl. ¶ 15.) In response to the flooding, Defendant took affirmative steps by lifting the carpet, removing the padding, and installing two large fans and a dehumidifier. However, Defendant left the drying equipment running the unit over a month, increasing Plaintiff’s PG&E bill. (*Id.* ¶¶ 15, 20.) Due to alleged uninhabitable conditions, Plaintiff ceased residing at the property on December 4, 2024, and began “couch surfing” with friends and coworkers, while Defendant allegedly failed to inform her of the City of Richmond Relocation Statute. (*Id.* ¶¶ 16–17.)

On January 24, 2025, the parties agreed to an early lease termination waiving January 2025 rent and early termination fees, which Defendant failed to honor. (Compl. ¶ 19.) On January 29, 2025, Plaintiff requested a rent reduction for November and December 2024 citing increased utility charges caused by the drying equipment. (*Id.* ¶ 20.) Plaintiff ultimately vacated the premises on June 29, 2025. (*Id.* ¶ 21.) Throughout the complaint, Plaintiff asserts that Defendant failed and refused to make necessary repairs, collected rent despite substantial defects, and failed to adequately maintain the property. (*Id.* ¶¶ 22, 27-28, 40, 47, 50-52, 60.)

Defendant Guardian/KW Hilltop, LLC now moves to strike punitive damages allegations in paragraphs 23, 24, 70, 71, and 72, as well as Paragraph C of the Prayer, on grounds that the complaint does not plead facts sufficient to support malice, oppression, or fraud under Civil Code section 3294, and fails to plead facts showing that any officer, director, or managing agent personally engaged in, authorized, or ratified the wrongful conduct.

Relying in part on *Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903 and *Penner v. Falk* (1984) 153 Cal.App.3d 858, Plaintiff responds that a residential tenant may state a viable claim for punitive damages by alleging that a landlord failed to rectify known, long-existing physical conditions such as ongoing water intrusion and biological contamination. Plaintiff also argues the Richmond Anti-Harassment Ordinance specifically provides for punitive damages when its provisions are violated. If the Court finds the allegations insufficient, Plaintiff requests leave to amend.

Meet and Confer

Prior to filing a motion to strike, the moving party is required to meet and confer with the party who filed the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the motion to strike. (Code Civ. Proc. § 435.5.)

Here, Defendant offers the declaration of its counsel Elmira Tofanyan attesting to meet and confer efforts prior to the filing of the instant motion to strike. Specifically, Tofanyan states on November 20, 2025, the parties met and conferred by telephone regarding the issues now raised on motion to strike. (Tofanyan Decl., ¶2.) Thus, Defendant has fulfilled the meet and confer requirement.

Legal Standard

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) Immaterial or irrelevant

matters include allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (*Id.*, § 431.10, subds. (b)(1)-(3).)

Discussion

Defendant argues that the complaint fails to state facts sufficient to support a claim for punitive damages against a corporation. The Court agrees, and will grant Defendant's motion to strike with leave to amend.

In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code Section 3294. These statutory elements include allegations that the defendant has been guilty of oppression, fraud or malice. (Civ. Code § 3294 (a).) Civil Code section 3294(c) defines malice as conduct "intended by the defendant to cause injury to the plaintiff," or "despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." "'Oppression' means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294(c)(2).) Despicable is a powerful term used to describe circumstances that are "base," "vile," or "contemptible." (*Coll. Hosp. v. Superior Ct.* (1994) 9 Cal.4th 704, 726.) The statute "plainly indicates that absent an intent to injure the plaintiff, 'malice' requires more than a 'willful and conscious' disregard of the plaintiffs' interests. An additional component of 'despicable conduct' must be found." (*Id.*)

"In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff. [Citations.] In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth. [Citations.] In ruling on a motion to strike, courts do not read allegations in isolation. [Citation.]" (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) "The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation.] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation.]" (*Grieves v. Superior Ct.* (1984) 157 Cal.App.3d 159, 166, fn. omitted.)

Generally, punitive damages are available for breach of implied warranty of habitability where a landlord willfully and consciously disregards a known uninhabitable condition. (*Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903, 92 925-926.) For example, in *Stoiber*, the court found that a plaintiff could recover punitive damages for numerous persistent uninhabitable conditions of which she repeatedly notified the landlord defendants. (*Id.* at 921.) The plaintiff alleged specific uninhabitable conditions, including heavy cockroach infestation, broken interior walls, broken deteriorated flooring on front porch, falling ceiling, deteriorated, faulty electrical wiring, lack of proper plumbing connection to sewage system in bathroom, sewage under bathroom floor, leaking roof, broken windows, and fire hazard. (*Ibid.*) Despite notice, the defendants knowingly, intentionally and willfully failed to correct the defective conditions by not even attempting repairs, except on one occasion where they sent a plumber in response to a complaint about a toilet. (*Id.* at 913; see also *Erlach v. Sierra Asset Servicing, LLC* (2014) 226 Cal.App.4th 1281 [punitive damages were appropriately pled against a landlord that had turned off tenant's utilities and prevented the tenant from returning to the property].)

Here, the facts alleged do not rise to the level required for punitive damages. Instead, Plaintiff alleges that upon moving in, the unit was "dirty and smelly," with a stained carpet, painted counters, and a "softened and bloated" bedroom wall. (Compl. ¶ 12.) Following a flood on November 11, 2024, Defendant actually responded by sending maintenance to pull back the carpet, remove the padding, and install two large fans and a dehumidifier, though Plaintiff claims the equipment was left running for over a month and increased her utility bill. (*Id.* ¶¶ 14, 19.) Plaintiff also claims that Defendant engaged in a "pattern of harassment" and retaliated against Plaintiff, but provides no supporting factual detail beyond the unmade repairs and a failure to honor an early lease termination agreement. (*Id.* ¶¶ 18, 34, 71.) At most, these allegations describe a flawed remediation effort and a dispute over lease obligations, which sound in ordinary negligence and contract rather than despicable, oppressive, or malicious conduct. Further specific facts are required to establish an entitlement to punitive damages under Civil Code section 3294.

Moreover, although Plaintiff characterizes the property conditions as "longstanding defects" and mentions "biological contaminants," the facts alleged do not support an inference of conscious disregard for tenant safety. (Compl. ¶¶ 15, 72.) Less than a month elapsed between the November 11 rainstorm and December 4, 2024 when Plaintiff left the unit to couch surf, and during which time Defendant had drying equipment deployed in the unit. (*Id.* ¶¶ 14–16.) Instead, the allegations describe an inadequate or delayed remediation process, a failure to credit or reduce rent for increased utility costs, and the breach of an agreement to waive rent and termination fees. These matters sound in negligence and breach of contract and do not describe despicable, oppressive, or malicious conduct on the part of Defendant.

Plaintiff also does not plead an adequate basis for corporate liability. Civil Code section 3294(b), provides an employer cannot be liable for punitive damages based on its employee's acts "unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice." Furthermore, "[w]ith respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation." (*Id.*) Thus, Defendant can only be liable for punitive damages if the bad acts were either (1) committed by its officer, director, or managing agent; (2) ratified or approved by its officer, director, or managing agent; or (3) had advanced knowledge of the unfitness of its employee. (*College Hospital Inc. v. Superior Court, supra*, 8 Cal.4th at 723.)

Here, the complaint does not identify any individual employee, supervisor, or manager by name or title, nor does it allege facts demonstrating that any specific actor directed or ratified the alleged conduct with the required authority. Instead, Plaintiff recites statutory language and asserts that unnamed Does were officers, directors, or managing agents of Defendant who were unfit or ratified the conduct. (Compl. ¶ 24.) This does not satisfy the heightened standard for pleading punitive damages against a corporation.

Accordingly, the motion to strike punitive damages is **granted** with leave to amend.